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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER | | | | | |

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0760037259 7

BUSINESS STUDIES **7115/02**

Paper 2 **October/November 2007**

1 hour 45 minutes

Candidates answer on the Question Paper.

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

Write your Centre number, candidate number and name on all the work you hand in.
Write in dark blue or black pen.
Do not use staples, paper clips, highlighters, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The business described in this question paper is entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
5	
Total	

This document consists of **13** printed pages and **3** blank pages.

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Newspapers Plus

Newspapers Plus (NP) is a large multinational company that publishes newspapers and maga... several different countries. It is a public limited company and makes high profits for its shareho... NP wants to start operating in Country X to publish a new magazine. The management intend to build... new printing factory in Country X to print the new magazine. The printing factory could also be used to produce newspapers if NP decides to expand into the newspaper market in Country X.

Factory workers could be recruited in Country X. There are no trained printing workers in Country X but wages are low. Trained printing workers could be transferred from NP factories in other countries. This would be expensive and they would not know the language.

Country X has a population of 10 million people and 80% of the population live in towns and cities. There are 6 national newspapers in Country X and many local newspapers. Most of the magazines on sale in Country X are imported. The most popular one being 'The Healthy Woman' published monthly. Because these magazines are imported, these magazines do not contain articles about Country X, its shops or its products. Only imported products are advertised or written about in the magazines.

The management of NP has three main ideas for the new magazine. A final decision has still to be made. The new magazine is to be aimed at women but different age groups could be targeted which would mean different types of articles could be included. The three ideas are outlined in Appendix 1.

Appendix 1

Idea	Age group targeted	Estimated circulation of the magazine	Estimated revenue per month	Production cost per magazine
Health Magazine - monthly	16 - 25	100,000	$500,000	$2
Fashion Magazine - monthly	18 - 30	200,000	$800,000	$1
Fashion and Beauty Magazine - monthly	21 - 45	150,000	$1,000,000	$3

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Appendix 2

Memorandum

To: Managing Director of NP
From: Marketing Manager of NP
Date: 13 October 2007
Re: Advertising Revenue

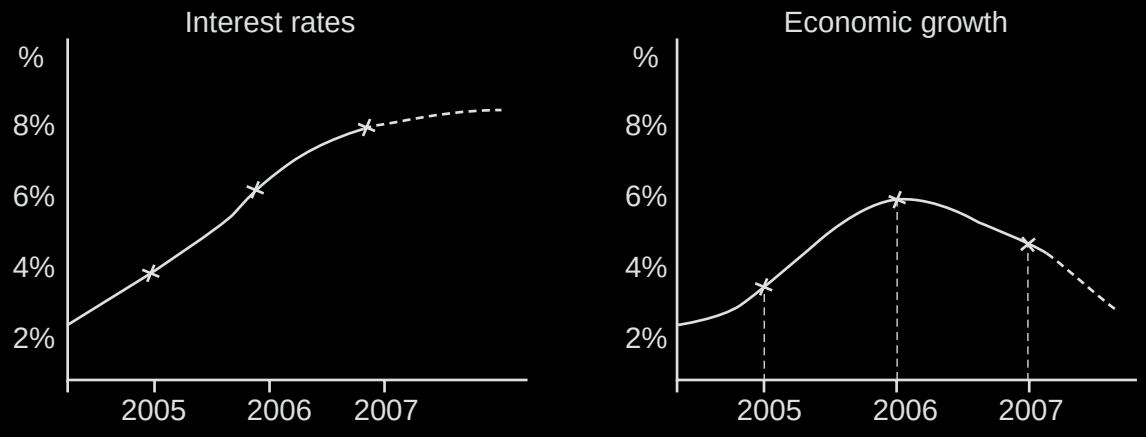
Several beauty product companies have indicated that they would like to advertise in our new magazine in Country X. We asked them which age group mainly buy their products and the answer was 16-30 years. We estimate that the magazine advertising revenue will increase by approximately $60,000 for each 100,000 copies sold. The more sales we make the more advertising revenue we will receive.

Fashion shops which sell expensive designer clothes are willing to pay $100,000 for advertisements in the magazine for each 100,000 copies sold. The age group which tends to buy these types of clothes is 30-45 years.

We need to take this data into account when deciding on the style and articles for our new magazine.

Appendix 3

Government Economic Data for Country X



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1 **(a)** Explain **two** advantages to NP of being a multinational company.

Advantage 1: .....

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Advantage 2: .....

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(b) Do you think the Government in Country X should encourage NP to open t printing factory? Explain your answer.

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2 **(a)** **How** do you think NP researched the market to estimate the number of copies to be sold of each type of magazine?

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(b) Advise NP on which **one** of the three magazines to publish. Use the information case and appendices 1 and 2 to support your answer.

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3 **(a)** Refer to Appendix 3. Do you think this is a good time to launch a new maga... Country X?

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(b) (i) The Marketing Manager will need to decide on a pricing strategy for t magazine. Describe **three** suitable pricing strategies the company might use.

Strategy 1: .....

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Strategy 2: .....

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Strategy 3: .....

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(ii) Which **one** of these three strategies would you recommend for NP to use for the new magazine and **why**?

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4 **(a)** NP will need to raise $4m to set up a new printing factory to publish the ma
Analyse **three** methods of finance they could use.

Method 1: .....

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Method 2: .....

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Method 3: .....

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For Examiner's Use

(b) NP will need to recruit employees to work in the new printing factory. Discuss w
they should recruit people living in Country X or transfer workers from their factori
other countries.

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5 **(a)** NP will use flow production in its new printing factory. Outline **two** benefits of us method of production.

Benefit 1: .....

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Benefit 2: .....

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(b) Advise NP on what factors will be most important when deciding where in Coun
locate the new printing factory.

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